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OR GENERATIONS, it has been difficult for women to break the so-called glass ceiling in finance. It's been rarer still to spot a woman in economic governance. Even now,

across the world, only a few countries have women finance ministers and central bank governors.

Globally, women head the finance ministry in only a handful of countries, including Australia, Japan and the UK. The President of the European Central Bank is Christine Lagarde, and the International Monetary Fund (IMF) is led by Kristalina Georgieva as its Managing Director. Gita Gopinath was associated with the IMF till recently, first as its Chief Economist and later as the First Deputy Managing Director. She has now moved back to academia.

Over the past few years, India, too, has seen a wave of change. The country's finance minister is a woman, so are some of the top policymakers in the finance ministry and the Reserve Bank of India (RBI). The crop of women at the top in economic wings of the government is a welcome change. Though the public sector has pay parity between men and women, and equal metrics for promotion, women say they are often relegated to "softer sectors" such as social welfare, while core economic ministries remain the preserve of their male colleagues. "There is always a boys' club at play. In public facing roles or in postings such as district collectors, even local stakeholders often say they are more comfortable dealing with male officials," recalls a senior bureaucrat.

Economist Indira Rajaraman and former Professor Emeritus at NIPFP makes two points on women in policy making and governance and said, "Any woman at any policy level is functioning fundamentally in a patriarchal world. Even a woman Prime Minister, who is at the top of decision making in the executive arm of government is functioning in a patriarchal world where the leaders of other countries are male for the most part. As a result, women are a minority in leadership roles and they face the consequences of being in that minority and the traditional perceptions of women as being soft and not as fierce or as strong as men," she says.

The benefits of putting women in charge of economic policymaking are clear. Rajaraman further points out that reservation for women in Gram Panchayat Councils has led to a remarkable functioning all over the country. "Gram Panchayat Council with 30% reservation of women, which is now at 50% in many states, has worked very well. They have constitutional support for the gender balance that they have, and it

has become very widely accepted," she says, adding that while having women as Sarpanch does not change anything, but 50% representation at the Council level for women makes a huge difference. "As council members, women can express forcefully their preferences for local services such as managing waste or dealing with contaminated water," she points out.

In their own way, each of these women is leaving an indelible mark on the economy.

Nirmala Sitharaman has been Union Finance and Corporate Affairs Minister since 2019. She is now the longest continuously serving Finance Minister, helming the economy through the troughs of the Covid-19 pandemic and lockdowns and placing it firmly on a growth trajectory that has managed to withstand external headwinds. She is credited with several reforms, the most recent being the huge cuts in income tax rates for individuals and rationalisation of the goods and services tax. She

Taking Charge

- 1 **Unlike most countries, in India, several women lead economic policymaking**
- 2 **Finance Minister Nirmala Sitharaman has helmed the economy to a robust growth trajectory since 2019**
- 3 **Her secretaries in the Department of Economic Affairs and the Ministry of Corporate Affairs are women**
- 4 **At the Reserve Bank of India, Deputy Governor Poonam Gupta is the first woman DG in nearly 15 years**
- 5 **There are hopes now that the government will build on the precedent set and more women will hold economic portfolios**

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